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## Fighting "Fear Itself": The Bank Holiday of March 1933

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## Cover Page Footnote

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# Fighting “Fear Itself”: The US Bank Holiday of March 1933

*Matthew Jaremski,<sup>1</sup> Gary Richardson,<sup>2</sup> and Angela Vossmeier<sup>3</sup>*

## Abstract

In the month preceding Franklin Roosevelt’s inauguration, a panic overwhelmed the United States banking system. Immediately after assuming office, Roosevelt declared a nationwide bank holiday and vowed to reopen only sound banks. Five days after the holiday ended, nearly 11,000 of the nation’s more than 18,000 commercial banks had reopened. Nearly 4,000 never reopened or had to be reorganized. The holiday is often credited with helping reestablish financial stability, but little is known about the mechanisms underlying the reopening process and the way in which payment systems were restored. We detail the process for reopening the banking system using narrative records provided by contemporary policymakers. Further, with new data on the date and type of reopenings, we provide descriptive statistics showing spatial and serial relationships of bank operations. Lastly, we discuss the rehabilitation programs that followed after the holiday.

**Keywords:** bank stability; Great Depression; Office of the Comptroller of Currency; regulation; United States Department of the Treasury

**JEL Codes:** E50; G21; N22

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“... the only thing we have to fear is fear itself—nameless, unreasoning, unjustified terror which paralyzes needed efforts to convert retreat into advance.”

— FDR’s First Inaugural Address, March 4, 1933

## I. Introduction

Less than 36 hours after his inauguration, on March 6, 1933, President Franklin Roosevelt (1933b) declared a banking holiday that closed all firms and persons “engaged in the business of receiving deposits, making loans, discounting business paper, or transacting any other form of banking business.” During his first fireside chat, on March 12, he explained to the American people that banks that appeared solvent in an initial screening would be reopened. By March 16, nearly 11,000 of the nation’s more than 18,000 commercial banks reopened. More reopened over subsequent weeks and months, but about 4,000 remained closed as of June 1933.<sup>4</sup>

The bank holiday marked the end of the Great Depression’s bank runs. Immediately upon the first reopenings, deposits and gold flowed back into the banking system and runs ceased. The stock market also began to rebound after years of decline. The strong positive response to the unpredicted suspension of the entire banking system is potentially surprising given the lack of transparency. Indeed, many potential financial interventions (for example, devaluation, capital controls, deposit insurance, etc.) were discussed, but details were scarce, and the exact policy implementation was far from certain at the start of March.<sup>5</sup> Even after the holiday’s declaration, decisions on which banks to initially reopen were made within a few days and using only existing information rather than new examinations or calls. Depositors thus strongly responded to the bank holiday despite relatively little information provided.

A few studies have examined the reasons for the success of the holiday. Silber (2009) argues that the bank holiday’s success hinged upon Roosevelt’s guarantee to unconditionally support reopened banks even though it was seldom needed. Park (1991) argues the power of the bank holiday came from the private information that was released in Roosevelt’s promise that only stable banks would be allowed to reopen.<sup>6</sup> Jaremski, Richardson, and Vossmeier (2025) studies the determinants of reopenings and depositor reactions. The authors show that balance sheet risk factors were important for reopening decisions. Larger banks and those with higher reserves and capital buffers were more likely to be reopened in

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<sup>4</sup> Data reported by the Federal Reserve Board (Fed 1934, 16) show a decline of 3,871 banks between December 1932 and June 1933. Friedman and Schwartz (1963, 423–27) report that 1,334 banks reopened between June 1933 and December 1936, but many of these were substantial recapitalizations or reorganizations.

<sup>5</sup> Moreover, while the Reconstruction Finance Corporation’s (RFC’s) authority was expanded to allow for preferred stock purchases, Vossmeier (2019) shows no jump in bank applications until the end of 1933, preventing it from having much explanatory power in contributing to the sudden return in deposits.

<sup>6</sup> Dighe (2011) details the effort put into identifying solvent banks. He highlights that: “Even if these assessments were flawed ... the process needed to inspire public confidence that reopened banks were indeed safe” (41).

March. However, economic, political, and regulatory variables were also important for reopening decisions. In this way, reopening was a noisy signal of bank health as regulators could have reopened some banks as a result of their side goals. Depositors, however, reacted strongly to the timing of bank reopenings. Banks that were immediately reopened gained significantly more deposits in the long run than banks reopened in the following weeks. The public was convinced by the actions taken by regulators to evaluate banks even though there were bound to be mistakes and inconsistencies.

In this article, we complement the work in Jaremski, Richardson, and Vossmeier (2025) by examining accounts of contemporary policymakers that illuminate the process by which banks were evaluated and reopened. We also provide detailed descriptive statistics on the spatial and serial pattern of reopenings to see how and when payment systems were restored. Finally, we discuss the continuation of the rehabilitation program that began in 1933 to its conclusion in 1935.

## **II. Bank Holiday of March 1933**

The panic preceding the bank holiday began in early 1933. It was a manifestation of the economic contraction that began in the summer of 1929 and the culmination of the series of bank panics that began in the fall of 1930. Those events forced banks to liquidate loans, sell securities, and borrow on their assets, weakening their balance sheets and leaving them vulnerable to subsequent shocks. The panics also engendered distrust in banks. Economic uncertainty increased after Roosevelt's victory in the presidential election of 1932. Herbert Hoover was left with a four-month lame duck period when he was reluctant to enact any major initiatives or use novel methods to counteract the unprecedented financial situation. Without a national policy, officials in many states and localities responded to runs on banks in their local communities by temporarily suspending withdrawals from all banks under their jurisdiction. Officials typically termed these suspensions as "holidays" to avoid negative connotations. These interludes provided banks time to liquidate assets and obtain funds to satisfy withdrawal requests.

In his inaugural address, Roosevelt (1933a) promised the American public immediate action on two priorities: putting people to work and the "strict supervision of all banking and credit and investments." True to his word, Roosevelt met with Treasury and Federal Reserve officials the following day and announced a bank holiday just after midnight.

An important purpose of this action was to attack the problem of bank failures comprehensively by reviewing at one time the condition of all banks and reopening only such banks as could meet all demands upon them. This procedure was intended both to assure more equitable treatment as between the depositors who were making withdrawals and those who were not, and to restore confidence in the banking situation. (Fed 1934, 10).

He made the declaration under the Trading with the Enemy Act because he lacked any power to directly make such a declaration until Congress granted it a few days later. Despite the

abrupt and emergency nature of the proclamation, the Holiday did not trigger panic but relief. The *Boston Post* on March 6 reported, "Everybody seemed to take the bank closings with good nature" (Federal Reserve Bank of Boston 1999, 20).

The holiday provided time for Roosevelt and Congress to pass the Emergency Banking Act on March 9. The act strengthened federal regulation of banks, gave the President emergency authority over the banking and monetary system, and allowed the Treasury to provide funds to financial institutions and to close or reorganize unsound banks. It also empowered the secretary of the Treasury to issue licenses that allowed banks to reopen.

Roosevelt (1933c) communicated his plan to reopen banks directly to the American people during his first fireside chat, on March 12. He explained that the government would reopen only solvent banks and that most banks would be solvent if the public once again trusted them with their funds. The public had pulled their funds from banks due to fear and misinformation. They had been "stampeded by rumors or guesses." The prolonged reopening process was necessary to "permit the banks to make applications for necessary loans, to obtain currency needed to meet their requirements and to enable the Government to make common sense checkups." He promised banks that reopened would be supported by the Federal Reserve, which would loan additional funds to banks. The Fed's authority was expanded to allow it to loan funds to banks secured by United States obligations or any notes, drafts, or bills that the Fed deemed to be acceptable collateral. "These measures made it possible for any member bank during the emergency to meet all demand for currency so long as it had sound assets, regardless of the technical eligibility of these assets" (Fed 1934, 14).

While some banks would open before others, the president (Roosevelt 1933c) emphasized that a "bank that opens on one of the subsequent days is in exactly the same status as the bank that opens tomorrow." Outside these assurances, relatively little was communicated to the public about how regulators decided which banks to reopen, reorganize, or liquidate.

### III. Narrative Accounts

Detailed descriptions of the reopening process come from leaders of the federal response. Francis Awalt served as the acting comptroller of the currency between September 1932 and May 1933. He participated firsthand in discussions of how to stabilize the banking system and oversaw reopening of national banks during the holiday. Awalt's (1969) posthumously published recollections provide a behind-the-scenes account of the period. J.F.T. O'Connor served as comptroller of the currency from May 1933 to April 1938. He supervised the later stages of the reopening process and observed its beginnings while he waited for the Senate to confirm his nomination as comptroller. O'Connor's recollections appeared primarily in the Congressional Record, particularly the extensive hearings on the Banking Act of 1935, when senators and representatives questioned him about the holiday and its aftermath. Supporting accounts can be found in the memoirs of Jesse Jones (Jones and Angly 1951), member of the board and head of the Reconstruction Finance Corporation (RFC) from 1932 to 1939, and the congressional testimony of Leo Crowley, head of the Federal Deposit Insurance Corporation (FDIC) from 1934 to 1945. Crowley was not in office during the initial

months of the holiday, since the FDIC was not established at that time, but he was a leader of the federal effort to strengthen the banking structure beginning in the summer of 1933. We weave together their recollections to craft an authoritative narrative of the federal response to the largest banking crisis in United States history.

Before March 1933, cursory discussions occurred concerning how to handle the national banking crisis and how to reopen banks should the financial system shut down. Work to identify which banks to reopen, however, did not begin until after Roosevelt declared the holiday and Congress passed the Emergency Banking Act, which authorized the licensing procedure that the secretary of the Treasury would use to ensure an orderly reopening. On March 8, Awalt asked the 12 chief national bank examiners to start dividing all national banks into three categories: one, banks that were solvent and safe; two, banks that were weakened but capable of reopening with assistance; and three, banks that were insolvent and should not be allowed to reopen.

During the initial screening, regulators based their decisions on banks' most recent examination reports rather than conducting new examinations or gathering new information. O'Connor described this process in additional detail.

. . . only 10 days elapsed between the closing of the banks and the reopening, during which time it was necessary to analyze and determine the condition of each bank on the available information.

Now, the information on which the Comptroller's office acted was the last report of the examination of the national banks, which was analyzed by the various chief examiners and their staffs in the field and considered, together with any other information which was available with respect to such banks. A like analysis was made in the office by the Comptroller of the Currency and, based upon such reports, all losses, market value depreciation, and doubtful assets were deducted from capital structure, and if the result of such deduction showed the bank to be solvent and otherwise in good condition, including adequate liquidity or borrowing power, the bank was recommended to the Secretary or the Treasury for a license. Each Federal Reserve bank made a similar analysis and submitted its recommendation on the national banks direct to the Secretary. In most instances the recommendations of the Federal Reserve banks and those of this office coincided. If there was a variance in any case, that case was made a matter of special study and was discussed over long distance by members of the staff of the Comptroller's Office with the chief examiners in the field and with the Federal Reserve banks, in order to arrive at the proper decision. No bank that was considered unsound was recommended by the Comptroller's Office to the Secretary for licensing. (US Congress 1935b, 101-2)

Final recommendations were made by the chief national bank examiners, an assistant in the comptroller's office, and by Awalt himself. The Federal Reserve Bank in each Fed district would have to concur with their recommendations, since the Fed would have to support the reopened banks with discount loans should runs resume. State banks went through a similar process through their state's regulatory officials.

O'Connor explained the procedures that bank examiners used to assess loans' value. Examiners used four general classifications: good, slow, doubtful, and worthless. Good loans were almost certain to be paid in full on maturity and could in short order be liquidated for near full value either by selling the loan to another party or using it as collateral for an interbank loan. Slow loans were "good loans that are sound, but loans that could not be immediately liquidated" (US Congress 1935b, 54). An example would be a line of credit on which a borrower paid interest in full and on time and which the borrower would be able to pay off over time but which the borrower lacked the liquidity to repay on demand. Another example would be a short-term discount loan on reliable collateral that a firm could continue to pay interest on and hoped to roll over because it could not repay the loan in full upon maturity but which it would likely be able to repay in full if given more time. Modern banking terminology would label these loans as illiquid.

Banks did not need to hold reserves against slow loans, since they were often banks' most profitable investments. Borrowers who were slower and therefore riskier typically paid higher interest rates than borrowers who were safer, could pay off their loans upon request, and could operate independent of bank credit. Senators' questions about slow loans' contribution to the contraction compelled O'Connor to discuss the issue in detail. He said . . .

[W]ith reference to the slow column, we cannot just permit the slow column to go unchallenged. In other words, we cannot permit a bank to get overloaded with slow paper, and still we cannot run the banks, and if the taxes are paid and the interest is paid, and the only objection is that it is slow, we are not going to attempt to tell the banker how he shall deal with that particular piece of paper, provided he is not overloaded with it. So, here is the policy our office has adopted and the advice to examiners with reference to the slow column.

The examiners when classifying loans as slow should state briefly the reasons for such classification, but should bear in mind that the responsibility for determining and taking such action as may be necessary to place such slow loans in proper bankable shape rests entirely with the bankers. The examiners, therefore, should refrain from instructing the bankers as to what course they should pursue with their customers whose paper is classified as slow. (US Congress 1935b, 132)

O'Connor insisted that the OCC watched to ensure that banks did not get "overloaded" with slow paper, which would make them vulnerable to "runs," but that the OCC realized managing a portfolio of slow loans effectively was an essential ingredient of the commercial bank business model. (US Congress 1935b, 132)

Doubtful loans spanned a wide range. That classification included loans for which "examiners say, 'Well, it is not what I would call a sound loan, and yet there is no evidence at once that it is a loss; if business turns a little or some little thing happens in here, it is a good loan, but I will have to classify it as doubtful'" (US Congress 1935b, 54). The previous examples would be doubtful if examiners worried that the borrowers would not be able to eventually repay in full. Examiners could compel banks to hold additional reserves against doubtful loans, but this decision was a judgement call, and the amounts of reserves, if any,



would depend upon the probability and size of the potential loss. When a loan was initially marked doubtful, examiners would tell the banks' officers to watch the loan until the next examination, improve its condition, and get the borrower to pay down part of the loan or post additional collateral. If the loan had not improved when the examiner returned, the examiner might require them to hold reserves against it.

Worthless loans were loans on which the bank had borne losses and was likely to lose more funds in the future. A worthless loan would be one whose borrower had missed interest payments and was unable to pay upon maturity. Worthless loans would be ones where the chances of recovering funds were low, because the borrower was bankrupt or unemployed and had few or no assets that could be recovered by filing suit in bankruptcy court. Banks had to hold reserves against worthless loans or write them off as entirely lost by reducing in their books the value of the loan to zero and deducting an equivalent amount from owners' equity.

O'Connor did not know the fraction of loans that were slow, doubtful, and worthless at the start of the holiday, but he cited data from 1935 that would have been a lower bound on those proportions. At the request of Congress, the OCC surveyed 5,275 examiners reports (out of about 5,400 banks then in operation). These banks had outstanding \$7.7 trillion in loans. Examiners had placed "2.88 percent of those loans in the loss column and 4.19 percent in the doubtful column and 27.05 percent in the slow column" (US Congress 1935b, 131). Those banks held no reserves against the slow loans, some reserves against the doubtful loans, and had been required to set aside reserves to write off all loans rated worthless.

These 1935 figures accurately represented reality at that time, since at that time, OCC and FDIC exams were stringent. The reality at the start of the holiday would have been worse, since the economy had recovered substantially in the two years from March 1933 until O'Connor's testimony in April 1935. Over that span, for example, the Fed Board's index of industrial production had risen 34% (Fed n.d.). A tabulation of exam results from late 1932 or early 1933, however, may not have been very different, since bank exams occurred infrequently, particularly in 1932, when examiners were often overwhelmed with urgent work dealing with failing banks, production declined steadily, and unemployment rose to unprecedented levels. So, exams from banks that appeared healthy and remained in operation may have been increasingly out of date. In addition, "prior to the banking holiday of 1933," bank examiners were often lenient, and losses were allowed "to accumulate" rather than be charged off as they developed (US Congress 1935a, 11; US Congress 1935b, 29).

O'Connor's testimony summarized the procedure for reopening banks as a five-step process. Step 1 was a rapid assessment, which we described earlier, of the financial condition of every bank in the United States by at least two and possibly three parties: (a) field staff of the OCC examination department or the equivalent staff for state-chartered banks, (b) headquarters staff at the OCC or the equivalent staff for state-chartered banks, and (c) staff of Federal Reserve Banks (for all members of the system whether state or nationally chartered). In Step 2, these groups sent their assessments and recommendations to the United States Treasury, whose staff collated the information and categorized banks accordingly. If the assessments coincided, the Treasury presumed the assessment was accurate. In Step 3, the Treasury staff

arranged conference calls for the parties to discuss points of disagreement and reach consensus on assessments of the condition for banks on which the parties' opinions varied. In Step 4, the Treasury staff—but not the staff of the OCC, Fed, and state regulatory agencies—determined the identities of banks that would be licensed. These decisions incorporated input and feedback from the leadership of the Treasury Department and the Office of the Comptroller of the Currency, and possibly other interested parties that funneled their requests and concerns through the leadership of the federal agencies. At the end of this step, the Treasury issued licenses that allowed banks to reopen.

Step 5 occurred in the months after reopening. “Analyses were made of the condition of the licensed banks following their first examination after the holiday, by which all losses, bond depreciation, and doubtful assets were deducted from capital structure to arrive at the amount of sound capital” (US Congress 1935b, 102). The Treasury required licensed banks to maintain a minimum ratio of sound capital to deposits. Later in this essay, we will describe the recapitalization program that stemmed from these assessments. Awalt does not discuss in detail Step 5 of the process since its implementation occurred mostly after O'Connor succeeded him as head of the comptroller's office.

The reopening process proceeded gradually. On March 13, sound banks in the 12 Federal Reserve Bank cities were allowed to be reopened. On March 14, sound banks in more than 250 cities with clearinghouses were allowed to be reopened. On March 15 and thereafter, sound banks in other locations could reopen. The tasks of recapitalizing, restructuring, and liquidating banks found to be unsound were pushed back in order to allow proper time for those processes to play out. Reopening decisions were decentralized based on the regulator in charge of the bank along with help from the Treasury and the RFC. The Office of the Comptroller of the Currency and Federal Reserve were responsible for national banks and state Fed member banks. Each state's banking authority was responsible for its state nonmember banks.

The secretary of the Treasury licensed 4,507 national banks and 571 state member banks within the first three days (Fed 1934, 22). Many of these banks were particularly large. According to Burns (1974, 116), these immediately reopened banks held 90% of the nation's banking resources. Jaremski, Richardson, and Vossmeier (2025, 6, table 1) shows that 81% of Fed member banks and 64% of state nonmember banks were allowed to reopen on an unrestricted basis by the end of March. Another 1,500 additional banks were fully licensed to reopen by the end of June. Most of the late reopeners were state nonmember banks, but there was a middle ground for state banks not mentioned by Roosevelt: restricted reopening. While national banks that had not reopened by March 16 were placed in the hands of conservators, many states passed laws that allowed their state banks to reopen subject to restrictions on the withdrawal of existing deposits and provision of loans. In Massachusetts, for instance, banks were initially required to limit withdrawals to \$10 for the purposes of food, fuel, and medicine. On March 16, the bank commission increased the daily withdrawal limit to \$100 per depositor (Daily Boston Globe 1933). The amounts of these restrictions varied across states. Some had been put in place during the state-specific suspensions before the national bank holiday. In most cases, banks could still receive new deposits that were not

subject to restrictions. Several states used the approach extensively, while others did not utilize it at all.

Awalt's (1969) memoirs highlight a variety of factors that played into the reopening decisions during Step 4 of the reopening process. First, he writes that bank stability was one of the most important aspects of the reopening. However, his concept of stability expanded during the holiday. Initially, Awalt estimated that only about 2,500 national banks had the liquidity to reopen and meet all demands made on them, but his estimate rose to about 5,300 banks with the additional liquidity provision provided by the Emergency Banking Act. Ultimately, it seems that the decision to reopen banks immediately hinged on their having either sufficient liquidity in general or at least sufficient assets that could be used to borrow from the Fed if necessary.

Second, Awalt highlights that regulators were concerned about the geographic coverage of reopened banks. The nation needed open banks to allow the payments system to function and prevent business disruptions. He relates: "It was necessary that, as far as possible, banks be opened to afford every community with some banking service" (1969, 363). One of the early steps Awalt took was to physically map out the sound banks that he thought could be reopened without additional liquidity. The initial distribution was apparently too thin and was a primary reason why the Emergency Banking Act's lending provisions were needed. Even after the initial reopenings, the approach was borne out in the Fed Board's 1933 annual report, which highlighted the recapitalization of banks was "utilized chiefly in connection with bank reorganization for the purpose of extending essential banking services to communities that lacked such services" (Fed 1934, 25).

Third, the bank's size might have played a role. As a handful of large banks in Federal Reserve cities held substantial funds of the nation, they likely were given special consideration because their reopening mattered to others. Awalt describes the reopening decision of one large San Francisco national bank: Bank of America. While the bank's July 1932 examination suggested it was in jeopardy, a more recent examination was slightly brighter. He says, though:

[I]t was quite obvious that with the huge amount of deposits which might be withdrawn and the slow assets in the bank's portfolio, it would be necessary that the Federal Reserve Bank of San Francisco furnish it with all available funds upon reopening to keep it open. It was also quite obvious that if the bank did not open, such banks as the Continental National of Chicago should not open. The effect on our economy, and on the entire situation from Chicago west, would be disastrous." (1969, 368-69)

The governor of the Federal Reserve Bank of San Francisco, John Calkins, however, was not convinced, and Awalt and William Woodin (then secretary of the Treasury) spent a large amount of time on the phone persuading him to approve the reopening of the bank.

Finally, the record suggests that there might have been different decisions made across different locations and bank types. Awalt notes that governors of the different Federal Reserve Banks had different views on providing liquidity, and the literature supports his

assertion (Friedman and Schwartz 1963; Richardson and Troost 2009; White 2017). Further, there seems to have been some concern with turning state nonmember banks over to state authorities. Not only were most state banks subject to fewer requirements and less frequent examinations, but the historical record also contains many instances where state regulators encouraged state bank growth relative to national banks by lowering requirements (Fed ca. 1932; Komai and Richardson 2014; Mitchener and Jaremski 2015; Mitchener and Richardson 2019; White 1983;). Given that reopened banks would be offered support by the Fed and RFC, some state officials may have utilized a looser definition of solvency. Even without explicit favoritism, different regulations and opinions across states could have played a role in what types of banks were reopened.

The Senate questioned O'Connor and Leo Crowley, head of the FDIC, on many of the issues that Awalt discusses in his memoirs. The discussion illuminated several important points. First, examiners had private information about the health of many banks' balance sheets. During the contraction, the risk of loss on many loans rose, and the value of those assets declined. Other loans fell behind on payments, forcing banks to carry borrowers by adding interest to principal and extending the deadline for repayment. Before the holiday, examiners had been lenient and allowed these losses to accumulate without being written off (US Congress 1935b, 29). So, examiners knew for many banks the balance sheet released to the public did not reflect the true state of the bank's financial affairs. The value of the banks' loans on their public balance sheets exceeded the value of their loans in reality. These banks might have been solvent if their borrowers (or the economy as a whole) had recovered quickly and repaid the amount owed, but these banks might have been insolvent at that moment or if the contraction continued.

Second, the leadership of the federal response believed that they initially had reopened many insolvent banks. The secretary of the Treasury at the time, William Woodin, "admitted" to Senator Carter Glass of Virginia that the Treasury "had licensed at least 1,000 unsound national banks or insolvent national banks" and allowed those institutions to resume operations during the holiday (US Congress 1935b, 54). Glass also phrased this recollected revelation more broadly, indicating that Treasury "licensed over 1,000 [banks] that were not solvent" (US Congress 1935b, 106). Glass remembered this exchange vividly because he recalled:

I jocularly said to him [Woodin] that that was contrary to the Federal statute that made it a penal offense, and that 3 months theretofore we had sent a man to the penitentiary from Danville, Va., for taking deposits over the counter when he knew his bank was insolvent. He laughed and said he hoped I would not send him there. I told him 'No; I was personally too fond of him.' (US Congress 1935b, 107)

O'Connor did not believe the number was as high as 1,000 if it referred to national banks. Glass then mentioned that the number possibly referred to member banks. O'Connor also doubted that so many member banks were insolvent but conceded it could have been the case for state nonmember banks (US Congress 1935b, 100–1, 106). This exchange illustrates the great uncertainty in assessments about the health of the banking system at the onset of the reopening process. Policymakers believed that many—perhaps as high as one in seven—

of the banks that they reopened had so many impaired loans that their net worth was negative. Lots of confusion and dispute, however, existed about the correct numbers.

O'Connor's testimony and Carter Glass's recollections of Woodin's admission illuminate the potential scope of action of nonfinancial factors in Step 4 of the reopening process. O'Connor insisted that the OCC did not recommend providing licenses to any banks that were unsound or insolvent. He asserted, "No bank that was considered unsound was recommended by the Comptroller's Office to the Secretary for licensing (US Congress 1935b, 102)." Woodin told Glass that the Treasury provided licenses to about 1,000 unsound or insolvent banks. A reasonable inference would be that Woodin's number of 1,000 represented the number of banks that the Treasury staff added to the list of banks that the OCC, Fed, and state regulators initially recommended for licensing after Steps 1, 2, and 3 of the reopening process.

While Woodin's statement about reopening 1,000 unsound banks may seem like an exaggeration, Jessie Jones's memoir indicates that he believed the Treasury licensed many more unsound banks than that. Jones recalls:

In literally thousands of cases, in those feverish days and nights, it was difficult to decide whether a bank was truly sound. The plunge in values, particularly market values, made one man's guess as good, or bad, as another's in assessing the probable worth of many a bank's portfolio. Mistakes were inevitable. A great many unsound banks were allowed to resume business. Judged by the panic prices then prevailing, four thousand of the banks which were allowed to open after the moratorium were unsound. (Jones and Angly 1951, 21)

Jones's recollections highlight the complexities of rapidly reopening thousands of banks, the likelihood that some things slipped through the cracks, and the belief of many leaders of the federal response that the government allowed many unsound banks to reopen.

Third, in retrospect, O'Connor noted, almost all the banks that reopened during the holiday turned out in the end to be solvent. Almost all remained in operation until the spring of 1935, when Congress inquired about their status. During that interval, for example, only 11 of the 4,522 national banks licensed to reopen during the holiday failed. O'Connor reported to Congress:

It was only natural that under this tremendous pressure and the short time available and with many examination reports not current, some errors occurred, but subsequent examinations have shown that they were few in number. In this connection it is well to call attention to the fact that in more than 2 years which have elapsed since the banking holiday only 11 national banks have suspended business. Five of these banks suspended business on account of defalcation on account of officers or employees. Seven of the banks were subsequently reorganized and three of that number paid creditors 100 cents on the dollar. (US Congress 1935b, 102, see also 129–30)

So, the initial assessments of the leaders of the federal response may have been unduly pessimistic. Banks are lenders that bet on the economic future. During economic booms,

banks' net worth is high. During busts, banks' net worth is lower. So, it is unclear if leaders' pessimism was about the banks themselves or the prospects for rapid economic recovery.

Fourth, a principal concern of policymakers leading the federal response was reopening the nationwide payments networks and ensuring firms and households throughout the United States had access to banks that could receive, transmit, and process payments. Policymakers reported to Congress that "every community which can produce a sufficient volume of deposits to support a bank should receive the advantages of such facilities" (US Congress 1935b, 32). Leading policymakers, however, were also concerned about overbanking and the impact of bank competition in small and medium-sized towns. Crowley reported:

There are many localities throughout the United States, however, which can support only one or two banks. To establish a second or third bank in such communities leads to speculative and destructive practices in an effort to earn sufficient income to pay expenses. (US Congress 1935b, 32)

Crowley reiterated:

[I]n lots of communities they have had 2 or 3 or 5 banks where really the community could only support 2 banks, and it is a question of the banks having an earning capacity that they may keep themselves sound. (US Congress 1935b, 54–5)

Competing concerns of access and overbanking could explain patterns of reopening, with the Treasury setting a low threshold to reopen the first bank in smaller suburban or rural locations and increasingly higher thresholds to reopen additional depositories.

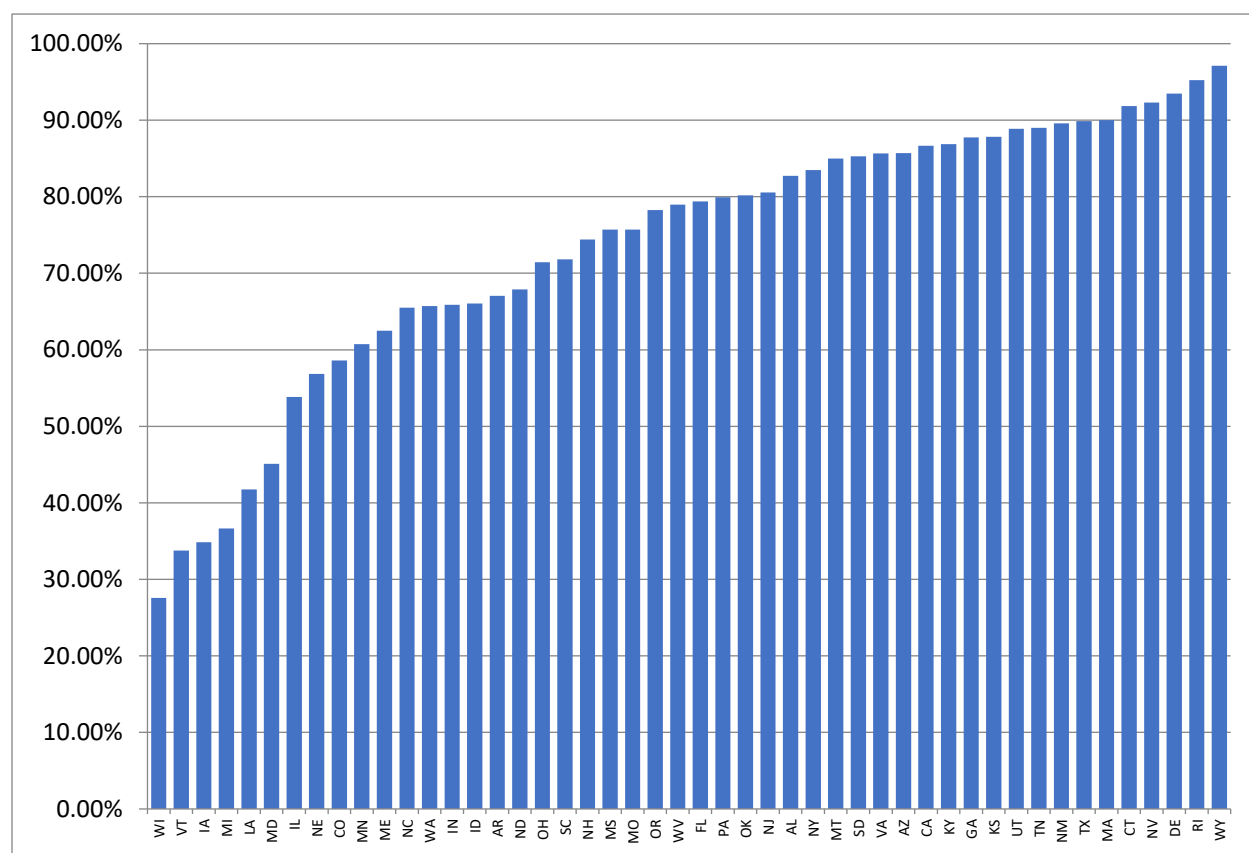
Fifth, the leaders of the federal response to the banking crisis in the winter of 1933 did not think of the holiday and the reboot of the banking system as a silver bullet that would solve the nation's banking problems. Instead, they saw the holiday as the initial stage in a prolonged campaign to rehabilitate, recapitalize, and reform the banking and monetary system. They passed the Emergency Banking Act at the start of the holiday to give the administration the tools it needed to get the bulk of the nation's commercial banks up and running. They hoped to complete this initial phase in a couple of months. In the summer, after accomplishing their initial goal, they planned to recapitalize much of the banking system and embark on widespread reforms. Many of these reforms were initially experimental, and the legislation authorizing them expired in a couple of years. The experimental phase culminated in 1935, when the federal government reviewed lessons learned and planned permanent reforms.

## IV. Descriptive Statistics

As in Jaremski, Richardson, and Vossmeier (2025), we use internal Federal Reserve documents that list all banks that were fully reopened or reopened with restrictions in each district by week. Comprehensive weekly reports exist up until March 29. After that point, Fed districts reported information less consistently. When the bank holiday started, 16,790

commercial banks were operating. In March, 11,793 banks were reported as being fully reopened, and an additional 1,685 banks were reopened under restrictions. Figure 1 shows the reopening rate in each state in March 1933.

**Figure 1: March 1933 Bank Reopening Rates, by State**



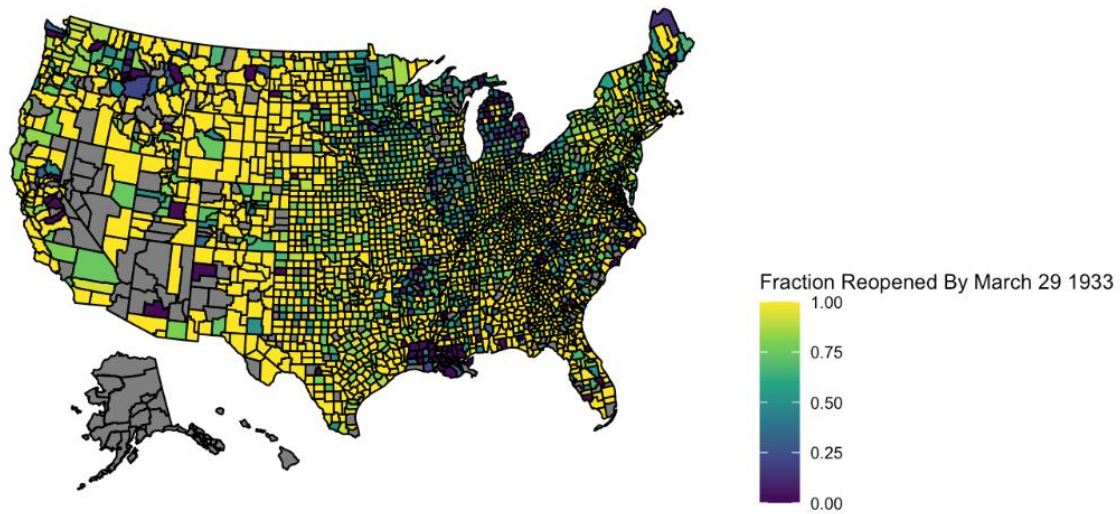
Notes: Figure provides the fraction of banks fully reopened in March 1933 in each state.

Source: Authors' analysis.

While the average March unrestricted reopening rate was 70%, Wisconsin, Vermont, and Iowa reopened fewer than 35% of their banks, and Rhode Island and Wyoming reopened more than 95%. Some of the variation is by Federal Reserve district. For instance, Iowa as well as parts of Illinois, Wisconsin, and Michigan were part of the particularly hard hit Chicago Fed district, and all were in the bottom of the list, whereas many of the top states were in the Boston Fed district that was less severely hit. Louisiana also seemingly had a low fraction reopened because no state nonmember banks were listed as being reopened in the Atlanta Fed portion of the state.

Figure 2 shows the distribution of reopenings by county. The figure illustrates wide variation in reopenings and policies even within states and districts. For instance, within the Chicago Fed district, Wisconsin and Illinois both had high variation in their country-level reopening rate. Wisconsin frequently utilized restricted reopenings whereas Illinois did not.

**Figure 2: March 1933 Bank Reopening Rates, by County**

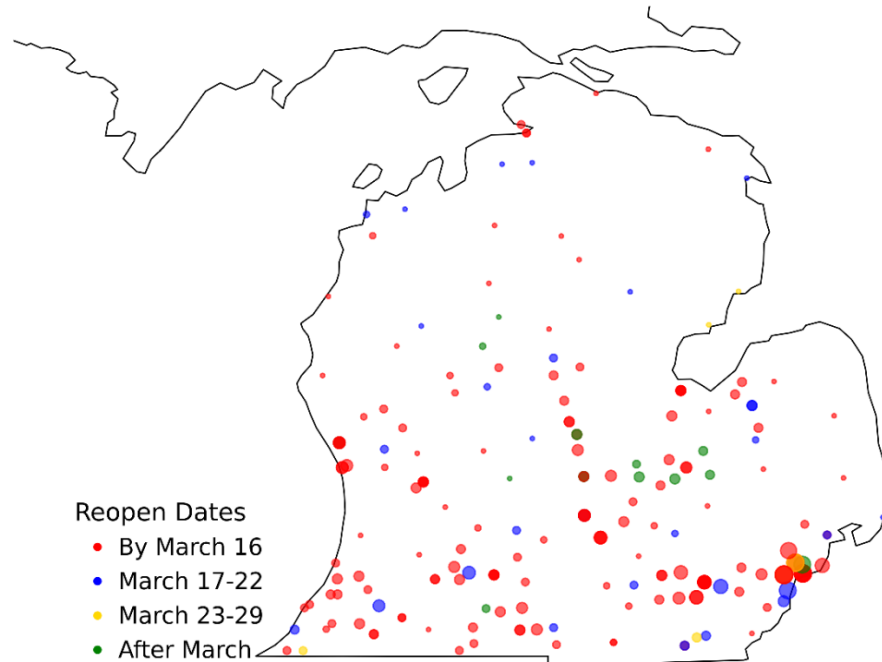


Notes: Figure provides the fraction of banks fully reopened in March 1933 in each county.

Source: Authors' analysis.

The county maps do not show evidence of a spatial pattern of reopening within states. To investigate this more closely, we zoom into the town-level and employ the weekly data. As an example, Figure 3 shows the state of Michigan. The red dots plot the location of banks that reopened by March 16. The blue dots plot the location of banks that reopened the following week, March 17–22. The yellow dots plot the location of banks reopened during the week of March 23–29, and the green dots plot the location of banks reopened after March. The size of the dot represents the number of reopenings in a given location. The dot color is transparent to show different colors (reopening dates) in the same location.



**Figure 3: Weekly March 1933 Bank Reopenings in Michigan, by City**

Notes: Figure provides the dates on which each bank was reopened in Michigan by week. Larger dots imply more banks were reopened.

Source: Authors' analysis.

The dots do not reveal a particular spatial pattern over time. One potential explanation is that early reopenings would start in big cities and slowly move to the nearby cities. However, that does not come through in the data, suggesting that examiners were not moving from one region to neighboring ones as they evaluated banks. Instead, it shows reopenings occurred throughout the state and were not geographically related in each week, which suggests that reopening decisions occurred centrally as information became available rather than as an examiner made their rounds.

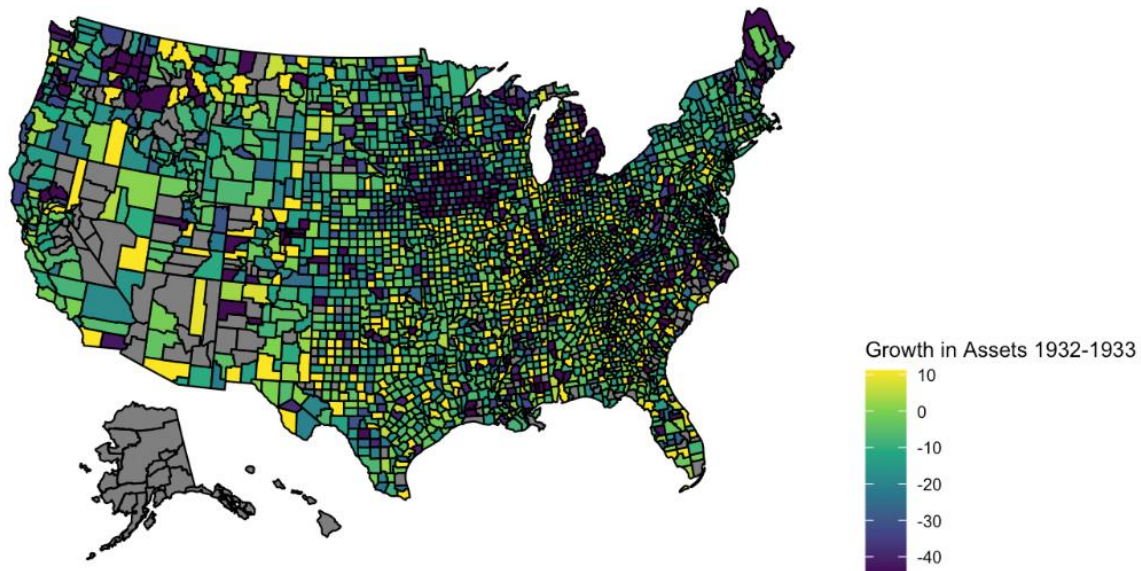
Across several econometric methodologies, Jaremski, Richardson, and Vossmeier (2025) shows that bank balance sheets were the key determinants in when a bank reopened. However, their work also shows that other demographic and political variables played a role, and in a prediction setting, there is some unexplained variation driven by unobservables. From this, the authors infer that the reopening date was a signal about bank health to market participants, but it was a noisy signal.

The narrative evidence suggests that the quality of the decisions was strong. For instance, during the hearings on the Banking Act of 1935, senators asked the comptroller of the currency about the quality of assessments during the holiday. The comptroller replied with a table describing the 11 national banks that received licenses to reopen during the holiday but failed between then and summer 1935. Most of national banks that failed subsequently did so after defalcation by management rather than having observably weaker assets. This

seems to make the point that the comptroller thought his office did a pretty good job of assessing national banks solvency at that time.

Subsequently, Jaremski, Richardson, and Vossmeier (2025) shows that banks that were reopened earlier saw a massive inflow of deposits, far greater than banks that were reopened a few days or weeks later. Figure 4 shows the growth in bank assets at the county level between the last business day in June 1932 and 1933. Notably, in relation to Figure 2, the counties that had lower reopening rates appear to also have had lower asset growth. Regulators were physically not able to evaluate more than 16,000 banks in just a few days. It took time. As a result, some banks reopened before others. Despite assurances from President Roosevelt that banks reopened after others were in no worse condition, the public responded to regulators' actions. Clearly, there were strong signals and stigmas from regulatory decisions during crises.

**Figure 4: Growth in Bank Assets by County, June 1932 to June 1933**



Notes: Figure provides the percentage growth in bank assets, measured by log differences between the last business day in June 1932 and June 1933 by county.

Source: Authors' analysis.

## V. Final Stage of the Reopening Drive

Leaders of the federal response described an initial wave of bank reopenings in the spring of 1933 culminating at the end of June, a little more than three months after the beginning of the campaign to reboot the banking system. The initial wave focused on getting healthy banks back in operation and ensuring that at least one bank reopened in each location so that firms and households throughout the nation had access to the payments network. The

initial phase laid the groundwork for a later phase intended to reopen the remaining banks and strengthen the banking system. The groundwork included two important changes in banking legislation embedded in the Emergency Banking Act passed on March 9, 1933. To understand the Fed's lender-of-last-resort actions before the 1930s, see Carlson (2025).

One fundamental change was in the way in which regulators resolved distressed banks. Before 1933, the comptroller of currency dealt with national banks that could not repay depositors by appointing a receiver who took control of the bank, liquidated its assets, and repaid depositors. Most state-chartered banks were resolved in the same way (Del Angel and Richardson 2024; Mitchener and Jaremski 2015). The Emergency Banking Act altered the resolution process so banks unable to pay depositors could be preserved and resuscitated rather than closed and liquidated. The annual report for the Federal Reserve Board for 1933 described this change in detail.

The [Emergency Banking] act also provided that when necessary for the conservation of the assets of a national bank the Comptroller of the Currency might place the bank in the hands of a conservator, whose powers differ in important respects from those of a receiver. The principal duty of a conservator, like that of a receiver, is to conserve the assets of the bank for the benefit of depositors, but in performance of this duty he is not under the same obligation as a receiver to liquidate the assets. He may resort, furthermore, to certain new procedures for reorganization, some of which require approval of a smaller proportion of the depositors and stockholders than older methods. (Fed 1934, 13)

Legislatures in many states adopted this change in practice, which spread to cover almost all banks over the next two years, since Congress determined that the Federal Deposit Insurance Corporation would be the resolver for all insured banks facing financial difficulties (Komai and Richardson 2014).

The second fundamental change “authorized the issuance and sale of preferred stock by national banks and the purchase of such stock by the Reconstruction Finance Corporation” (Fed 1934, 13). Before this change, stocks of nearly all commercial banks in the United States had been double, triple, or unlimited liability, with double the most common. All national banks, for example, were double liability, which meant that if the bank failed or approached failure, the regulator could assess stockholders an amount up to the par value of each share of stock, typically \$100. Preferred stock was strictly limited liability and received preference in repayment over common stock. The intent of this change was to enable banks to raise new capital during the Depression when the risk of investing in double-liability bank stock may have been prohibitive. Most states echoed the federal authorization and passed legislation necessary for state-chartered commercial banks to issue preferred stock.

The Fed's annual report emphasized the synergy of these measures, which . . .

provided means for readjusting the liabilities of insolvent banks without receiverships and for checking or slowing down the process of liquidation which had been contributing to the continued decline in the value of bank assets in general and thus

undermining other banks. Banks were offered, moreover, a new method of raising funds through the sale of preferred stock, capital notes or debentures. This method enabled them to meet demands for funds without creating claims superior to the claims of their depositors, such as those which arose when they borrowed at the Reconstruction Finance Corporation or elsewhere. (Fed 1934, 13)

The Fed, OCC, and FDIC detailed the impact of this legislation in their annual reports in 1934 and 1935. Leaders of these agencies—particularly the OCC and FDIC—emphasized this issue in their testimony to the House and Senate in 1935.

The FDIC's director, Crowley, explained that "capital rehabilitation of banks" was due in part through "local contributions," by which he meant sales of preferred stock to local investors, often the banks' current stockholders or large corporate depositors, and in part through sales of preferred stock to the RFC (US Congress 1935b, 33). The OCC oversaw recapitalization of national banks. The Federal Reserve oversaw recapitalization of state member banks. Both organizations determined the capital that should be raised by commercial banks during their first examination after the holiday. Examiners initially encouraged, later urged, and eventually required many banks to raise the necessary capital. "The Comptroller of Currency and the Federal Reserve Board had the right to insist that banks under their jurisdiction accept the necessary aid" (US Congress 1935b, 33).

To reduce the stigma of selling preferred shares to the government, the OCC and RFC appealed to New York's leading banks, which requested changes in the structure of the program but then agreed to participate. Then, many of the largest banks in the nation sold preferred shares to the RFC. Publication of the news of their participation in the program encouraged large numbers of smaller banks to participate (Jones and Angly 1951).

The FDIC worked to rebuild the capital structure of nonmember banks. It encouraged them to try to raise additional capital locally and apply to the RFC's preferred stock program if local efforts failed to raise sufficient funds. The FDIC, however, lacked legal authority over state banks' capital structures. So, it used "the power of rational appeal" to commercial banks' boards of directors and to state banking authorities (US Congress 1935b, 33). Banking authorities in most states cooperated enthusiastically and strove to help banks under their jurisdiction raise additional capital from their communities or apply for the funds from the RFC. By the end of 1934, nonmember banks had received almost twice as much capital in proportion to their total deposit liability than member banks, although since member banks had much larger deposits, members had received almost three times as much RFC assistance in dollar terms than had nonmember banks (US Congress 1935b, 33).

Data on the RFC's overall recapitalization effort appears in Figure 5, which Crowley presented during testimony in the Senate (US Congress 1935b, 33). In June 1934, deposits at insured banks totaled \$35.8 billion. That amount was close to total deposits at all commercial banks, which was \$36.7 billion, because all national, state member, and most large nonmember banks were insured (Fed 1943, 17). In December 1929, total deposits at all banks was \$51 billion (Fed 1943, 17), which shows how far banking resources had declined

since the onset of the contraction, even though deposits rebounded since their trough during the holiday.

**Figure 5: Reconstruction Finance Corporation Purchases of Capital Obligations from Commercial Banks (\$ millions)**

|                                                          | National | State<br>Member | Insured | Total  |
|----------------------------------------------------------|----------|-----------------|---------|--------|
| 1. Total Deposits (\$ million)                           | 19,896   | 11,116          | 4,746   | 35,814 |
| 2. Capital + Surplus + Undivided Profits (\$ million)    | 2,843    | 1,886           | 1,005   | 5,752  |
| 3. Net RFC Contribution to Capital (\$ million)          | 384      | 202             | 184     | 773    |
| 4. Ratio RFC to Total Deposits (%)                       | 1.9      | 1.8             | 3.9     | 2.2    |
| 5. Ratio RFC to Total Capital (%)                        | 13.5     | 10.7            | 18.3    | 13.4   |
| 6. RFC Cumulated Disbursements to All Banks (\$ million) | 465      | 238             | 256     | 959    |
| 7. Ratio of Item 6 to Item 1 (%)                         | 2.3      | 2.1             | 5.4     | 2.7    |
| 8. Ratio of Item 6 to Item 2 (%)                         | 16.4     | 12.6            | 25.5    | 16.7   |

Notes: Items 1, 2, and 3 from first call report of insured banks on June 30, 1934. Item 6 reported by RFC on February 1, 1935. Data is for all FDIC-insured commercial banks in the United States. All national and state member banks and about nine out of 10 state banks had FDIC insurance. Mutual banks excluded from calculations.

Source: *US Congress 1935b, 33; table presented during testimony of Leo T. Crowley.*

Crowley did not know the amount of preferred stock sold locally to investors other than the RFC. During his testimony, Comptroller O'Connor supplied that figure for national banks. The RFC's net contribution to RFC capital amounted to \$384 million. Total national bank preferred stock sold locally amounted to \$359 million (US Congress 1935b, 105). So, for each dollar of preferred stock sold to the RFC, national banks sold about one dollar of preferred stock to local businesses and investors.

Crowley explained that during the final phase of the recovery, the FDIC sought to shape the banking system in small towns and rural America, where the FDIC believed too many banks had operated before the Depression. Crowley stated:

Every community which can produce a sufficient volume of deposits to support a bank should receive the advantages of such facilities. There are many localities throughout the United States, however, which can support only one or two banks. To establish a second or third bank in such communities leads to speculative and destructive practices in an effort to earn sufficient income to pay expenses. (US Congress 1935b, 32)

Crowley explained that the nation should not "return to the overbanked condition of 1920 if we wish to have a sound banking structure. The growth of excessive banking facilities was one of the most destructive influences which existed prior to the banking holiday of 1933" (US Congress 1935b, 31). To prevent too many banks from operating in smaller communities, the FDIC encouraged banks in those communities to merge, discouraged weaker banks from resuming operations, and sought authority to prevent rural banks

deemed weaker or unnecessary from joining the FDIC or accessing other forms of federal financial assistance (US Congress 1935b, 54). Crowley defended this request by asserting:

I think what has got to happen . . . is that the Corporation will have to make a survey of each State and try to determine the banks that, by their size, or for other reasons, cannot operate soundly, and try to bring about eliminations by the purchasing of assets and consolidations, and then, of course, by having power to restrict . . . admit[ting those banks] to our fund. (US Congress 1935b, 54)

Crowley argued that work remained to be done on redistributing banks. He believed that there remained “a great many communities that need banking service” but “they have none” while other communities “had 2 or 3 or 5 banks where really the community could only support 2 banks” (US Congress 1935b, 55).

Comptroller O'Connor's testimony on the final phase of the recovery addressed many issues that arose during Crowley's testimony. O'Connor noted that at the close of the banking holiday, 1,417 national banks lacked licenses allowing them to operate. Those banks held deposits of \$1.9 billion. The OCC used its new powers to get 1,095 of those banks back into operation. Those institutions, which held \$1.8 billion in deposits, were reorganized by conservators under old or new charters or absorbed by other national banks. Thirty-one of the remainder liquidated voluntarily and repaid their depositors in full. Two hundred ninety-one banks with deposits of \$153 million were placed in receivership and were in the process of liquidation. Depositors had already received about one-third of their funds. Repayment of the remainder awaited results of liquidation (US Congress 1935b, 106).

O'Connor explained that the conservatorships and preferred stock authorized by the Emergency Banking Act played a key role in getting the 1,095 unlicensed banks back into operation. Conservators helped bank owners and depositors reach agreements where each group waived a portion of their interests so that the bank could resume operations. These agreements typically called for owners to invest new money and write off some of their existing equity in return for depositors writing off a portion of the claims. Conservators also enabled banks to seek additional capital, almost always preferred, which helped banks raise liquid funds and placed them on a better financial footing. Sales of preferred stock—to the RFC and to local investors—helped many unlicensed banks reopen. The RFC preferred stock program was in many cases used as a sweetener to incentivize parties to reach a reopening agreement.

Sales of preferred stock also helped operating banks. In total, O'Connor indicated, 2,170 national banks sold preferred stock. Banks did this for three “purposes: First, to strengthen the capital structures of the bank; and second, in many instances, where the banks wanted to carry slow paper and not crowd the debtors” (US Congress 1935b, 103). The third was “to help the weaker banks” by ensuring that purchasing preferred stock did not indicate that a bank was in “a precarious condition” (US Congress 1935b, 103–4). Many memoirs and narratives discuss the first and third rationales. O'Connor's testimony provides unique evidence on the second. He believed that many banks had substantial quantities of slow loans on their books near the trough of the Depression. At that time, borrowers could continue to

pay interest on these loans but not repay the principal. They would have been able to pay off the loans in full when the economy recovered. To recoup their funds immediately, banks had to file suits against the debtors, putting their operations in the hands of bankruptcy courts. Waiting to recover the principal would have allowed those firms to remain in operation. This would have been good for the banks, since they would have continued to earn a steady return rather than immediately realize losses when they tried to recover funds through a bankruptcy suit, and also good for the economy, since firms would have remained in operation rather than shut down when they were placed under jurisdiction of a bankruptcy receiver. The modern laws that allow firms to continue operations during bankruptcy adjudication did not exist at that time (Del Angel and Richardson 2024). Selling preferred stock allowed banks to raise cash that they could use to continue operations while carrying slow debtors.

Both O'Connor and Crowley emphasized the reopening campaign's goal was to help banks, businesses, depositors, and the nation as a whole. Crowley summarized the second phase of the reopening campaign by stating that since the initial wave of reopening:

[M]uch effort has been expended in reorganizing and relicensing banks in order that the frozen funds of the depositors might be released. The accompanying table indicates that more than 2,000 banks have been added to those which withstood the shock of the banking crisis. (US Congress 1935b, 31)

A statistical summary of both phases of the reopening campaign appears in Figure 6.

**Figure 6: Banks Licensed from Start of Holiday to End of Reopening Campaign**

| Type of Bank                      | Total   | Banks Licensed |         |         |         | Total  |
|-----------------------------------|---------|----------------|---------|---------|---------|--------|
|                                   | 1933    | 1933           |         | 1934    |         | 1934   |
|                                   | March 4 | March 29       | June 28 | Dec. 31 | Dec. 31 |        |
| National Member                   | 5,907   | 4,766          | 133     | 719     |         | 5,618  |
| State Member                      | 787     | 621            | 82      |         |         | 703    |
| State Nonmember                   | 11,574  | 7,379          | 789     | 1,446   |         | 9,614  |
| Total                             | 18,268  | 12,766         | 1,004   | 2,165   |         | 15,935 |
| Percent Licensed                  |         |                |         |         |         |        |
| National Member                   |         | 80.7%          | 2.3%    | 12.2%   |         | 95.1%  |
| State Member                      |         | 78.9%          | 10.4%   | 0.0%    |         | 89.3%  |
| State Nonmember                   |         | 63.8%          | 6.8%    | 12.5%   |         | 83.1%  |
| Total                             |         | 69.9%          | 5.5%    | 11.9%   |         | 87.2%  |
| Pace of Reopening, Banks per Week |         |                |         |         |         |        |
| National Member                   |         | 1589           | 11      | 9       |         | 60     |
| State Member                      |         | 207            | 7       | 0       |         | 8      |
| State Nonmember                   |         | 2460           | 66      | 19      |         | 103    |
| Total                             |         | 4255           | 84      | 28      |         | 171    |

Notes: Total is the sum of national and state banks. Total 1933 indicates number of banks in operation on March 4, 1933. Total 1934 indicates number of licensed banks in operation on December 31, 1934. Banks Licensed Mar. 29 indicates banks licensed to operate from beginning of holiday to March 29, 1933. Banks Licensed June 28 indicates banks licensed from March 30 to June 28, 1933. Banks Licensed Dec. 31 indicates banks licensed to operate from July 1, 1933, to December 31, 1934. Percent Licensed is the number of licensed banks in the interval divided by banks in operation on March 4. Pace of Reopening is the number of licensed banks in the interval divided by the number of weeks in the interval.

Sources: *US Congress 1935b* and *Rand McNally Bankers Directory, 1932 and 1933*.

The figure makes several clear points. Most banks that eventually reopened did so during the three weeks following Roosevelt's inauguration. During those weeks, the pace of reopening was rapid, with more than 4,000 reopening every week, on average. Banks reopened in this initial wave received little personal attention, since *Rand McNally* lists fewer than 1,500 bank examiners employed in the United States at that time. The pace slowed substantially in April, May, and June 1933, when authorities reopened about 84 banks per week. The pace dropped even more over the next year, when authorities relicensed one or two dozen banks per week. Eventually, 5,300 of the 6,300 banks that belonged to the Federal Reserve System reopened, while only about 9,600 of 11,500 nonmember banks reopened.

## VI. Conclusion

The bank holiday has been credited with helping to stabilize the banking system during the Great Depression. However, no new examinations were carried out, and most decisions were



made within a few days by a host of regulatory agencies. Our narrative and descriptive analysis shows how these reopening decisions were made and the spatial and serial patterns in the decision-making process. We shed light on why the bank holiday approach might have been helpful but also where shortcomings may have occurred.

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